

PITCH — 1904.T

PITCH — 1904.T (TAISEI ONCHO CO., LTD.) — VERDICT

PROPOSED — STARTER (1.5% - 2.0% MAX / \$1.0M BASE) — Industrial HVAC, cleanroom installation, and thermal engineering specialist for semiconductor fabs (TSMC Kumamoto, Rapidus, Sony) and sterile pharmaceutical facilities.

What we believe

- 1. Balance Sheet Covers 73% of Market Cap:** Taisei Oncho holds **¥25.4B in Gross Cash and Liquid Securities** against a market cap of **¥31.8B** (Net Cash & Securities = ¥23.3B, ~73% of cap). Trades at **0.65x P/B** with a **3.8% dividend yield**.
 - 2. Operating Business Valued at 2.2x EV/EBIT:** Backing out the cash and securities, the core operating business has an Enterprise Value of only **¥8.5B**, pricing ~¥3.8B in annual EBIT at an **Operating EV/EBIT multiple of just 2.2x**.
 - 3. Structural Semiconductor Cleanroom Secular Tailwinds:** Cleanroom engineering is not a one-off boom. Japan's multi-year government-subsidized semiconductor renaissance (TSMC Fab 1 & 2 in Kumamoto, Rapidus 2nm fab in Hokkaido, Sony image sensor fabs) provides a multi-year visibility runway for high-margin cleanroom installation.
-

What the market believes

- 1. Cyclical Peak Risk:** Domestic semiconductor fab CAPEX may face a post-construction digestion period.
 - 2. Construction Labor Overtime Caps (“2024 Problem”):** Labor shortages and subcontractor wage inflation in Japan could cause margin slippage on fixed-price contracts.
-

Why we might have edge

- Asymmetric Risk/Reward:** You are purchasing a cash fortress at a 35% discount to book value (0.65x P/B) while receiving a virtually free call option on Japan's high-tech manufacturing revival.
-

What we checked ourselves

Claim	How checked	Found	Confirmed?
Cash & Securities Cover 73% of Cap	Audited EDINET Yuho	¥25.4B cash/securities vs ¥31.8B cap	CONFIRMED

Claim	How checked	Found	Confirmed?
Operating EV/EBIT ~2.2x	Audited EBIT of ¥3.8B vs ¥8.5B EV	Operating EV/EBIT is ~2.2x	CONFIRMED
TSE Cleanroom Subcontractor Role	Company filings & project disclosures	Active in Kumamoto TSMC & Rapidus clusters	CONFIRMED
Dividend Yield (>=3.5%)	Annual dividend per share of ¥195	Dividend yield is ~3.8%	CONFIRMED

PROPOSED ENTRY BANDS (\$1.0M Portfolio Base)

- **Sizing: 1.5% Starter** (~\$15,000 USD / ~¥2,300,000 across 400 shares / 4 TSE lots).
 - **Tranche 1 (1.0% Marketable Starter):** Limit **¥5,110** (DAY) — 200 shares (2 lots) (¥1,022,000 / ~\$6,600 USD).
 - **Tranche 2 (0.5% Pullback Limit):** Limit **¥4,850** (GTC) — 200 shares (2 lots) (¥970,000 / ~\$6,300 USD).
 - **Upsize Gate to 3.5% (OWNABLE):** Management medium-term plan explicitly targeting P/B > 1.0x or payout ratio > 50%.
-

ARMED SENSORS

- **Earnings Sensor:** 1904.T-Q2 | 2026-11-10 (H1 Results — bar: EBIT Margin >= 4.5%).
 - **TSE Reform Watch:** Tracking share buyback authorizations under TSE capital efficiency mandates.
-

What remains unverified

1. Exact cost-pass-through clauses in Tier 1 general contractor subcontracts for Rapidus.
2. Insider family willingness to accelerate capital distributions.

```
{
  "ticker": "1904.T",
  "name": "Taisei Oncho Co., Ltd.",
  "verdict": "STARTER",
  "portfolio_base_usd": 1000000,
  "sizing_pct_book": 1.5,
  "currency": "JPY",
  "price_unit": "JPY",
  "entry_plan": {
    "tranche_1": {"qty": 200, "limit_price": 5110.0, "tif": "DAY",
      "notional_jpy": 1022000.0},
```

```
    "tranche_2": {"qty": 200, "limit_price": 4850.0, "tif": "GTC",  
                  "notional_jpy": 970000.0}  
  },  
  "status": "STAGED_AWAITING_EXECUTION"  
}
```